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8
9 **UNITED STATES DISTRICT COURT**
10 **SOUTHERN DISTRICT OF CALIFORNIA**

11 UNITED STATES OF AMERICA,

12 Plaintiff,

13 v.

14 MARGARET E. HUNTER (2),

15 Defendant.
16

Case No. 18CR3677-W

SENTENCING MEMORANDUM AND
RECOMMENDATION FOR DOWNWARD
DEPARTURE

Date: August 24, 2020

Time: 9:00am

17 **I.**

18 **INTRODUCTION**

19 Rather than admit his guilt and resign his seat in April 2016 when originally
20 questioned by the FEC, codefendant Duncan D. Hunter initially sought to blame his wife
21 for his own misdeeds, and subsequently launched an improper, wide-ranging, and
22 dangerous assault on our system of justice in order to deflect attention from his own
23 criminal conduct. In marked contrast, Defendant Margaret E. Hunter admitted her guilt at
24 the earliest opportunity, timely entered a guilty plea, and cooperated with the United States
25 in its investigation into her husband's criminal conduct.

26 This Court sentenced Hunter to 11 months in custody for his part in committing
27 campaign finance fraud, lying to the public to cover it up, and in continuing to cynically
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1 serve in the House of Representatives. *See* Dkt. at 139.¹ While Margaret Hunter’s plea
2 acknowledges her vital and substantial role in this campaign finance fraud, her sentence
3 must also reflect her relative lesser culpability, the important part she played in securing
4 her husband’s guilty plea, and her role in reinforcing the bedrock principle underlying our
5 democracy that the politicians who write our laws do not stand above the law.

6 **II.**

7 **STATEMENT OF FACTS**

8 The United States will rely on the Statement of Facts contained in the Sentencing
9 Memorandum filed in codefendant Duncan D. Hunter’s related case. As the Court is well
10 aware, that filing set forth at great length the evidence supporting the conclusion that
11 Margaret Hunter’s theft of campaign funds was enabled, condoned, and perpetrated in large
12 part for the benefit of her codefendant.

13 **III.**

14 **SENTENCING CONSIDERATIONS**

15 As we noted in Hunter’s case, the United States’ analysis begins with a consideration
16 of the United States Sentencing Guidelines (“Guidelines”). Although the guidelines are
17 advisory, this Court is required to properly calculate and consider them when sentencing.
18 *See* 18 U.S.C. §§ 3553(a)(4) and (a)(5); *United States v. Booker*, 543 U.S. 220, 264 (2005)
19 (“district courts . . . must [take Guidelines] into account when sentencing.”); *Rita v. United*
20 *States*, 551 U.S. 338, 351 (2007) (observing that a district court should begin all sentencing
21 proceedings by correctly calculating the applicable Guidelines range); *Gall v. United*
22 *States*, 552 U.S. 38, 49 (2007) (“ . . . to secure nationwide consistency, the Guidelines
23 should be the starting point and the initial benchmark.”).

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27 ¹ Due to the ongoing Covid 19 crisis, Duncan Hunter’s surrender date has been
28 delayed till January 4, 2021. *See* Dkt. at 150.

1 **A. Sentencing Guidelines**

2 As was the case with her codefendant, this Court’s task is made somewhat easier as
3 the United States, Margaret Hunter, and the Probation Department all agree as to the
4 appropriate Guidelines calculations:

5

6 Base Offense Level [USSG §2X1.1 / §2C1.8]	8
7 Value > \$200,000 [USSG §2C1.8(b) / §2B1.1(b)(1)(F)]	+10
8 More than 30 Transactions [USSG §2C1.8(b)(4)]	+ 2
9 Abuse of Position of Trust [USSG §3B1.3]	+ 2
10 Acceptance of Responsibility [USSG §3E1.1]	- 3
11 Total Offense Level	19

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13 The Guidelines mandated adjustments to the base offense level therefore result in a total
14 offense level of 19 and a sentencing range of 30 to 37 months. None of this disputed.

15 The Court must once again consider a number of other factors to ensure that it
16 imposes a sentence “sufficient, but not greater than necessary” to: (i) reflect the seriousness
17 of the offense, to promote respect for the law, and to provide just punishment for the
18 offense; (ii) afford adequate deterrence to criminal conduct; (iii) protect the public from
19 further crimes of the defendant; and (iv) provide the defendant with any needed educational
20 or vocational training, medical care, or other correctional treatment. *See generally* Title
21 18, United States Code, Section 3553(a).²

22

23 ² Section 3553(a) further directs the Court to consider: (1) the nature and
24 circumstances of the offense and the history and characteristics of the defendant; (2) the
25 statutory purposes noted above; (3) the kinds of sentences available; (4) the kinds of
26 sentences and the sentencing range as set forth in the Sentencing Guidelines; (5) the
27 Sentencing Guidelines policy statements; (6) the need to avoid unwarranted sentencing
28 disparities; and (7) the need to provide restitution to any victims of the offense. 18 U.S.C.
§ 3553(a).

After weighing these myriad factors upon the appropriate statutory framework, and considering the extant guidance provided by the pertinent caselaw, the parties and the Probation Department³ all agree that the following Departures and/or Variances should be applied in the present case:

Total Offense Level	19
Departure/Variance [USSG §5K2.0 / 18 USC § 3553(a)]	- 3
Cooperation [USSG §5K1.0]	- 5
Resulting Guideline Range	11

As can be seen directly above, these calculations result in a final offense level of 11 and a corresponding sentencing range of 8 to 14 months.

At the outset, it bears noting that these calculations—at least on the surface—suggest the somewhat paradoxical result of Margaret Hunter being exposed to the exact same sentencing range as her husband – even though her role in the overall criminal scheme and attempted coverup was far less egregious. The compelling differences in the two cases include, but are not limited to: (1) Margaret Hunter’s timely guilty plea; (2) the cooperation she provided leading to her codefendant’s guilty plea; (3) Duncan Hunter’s primary role in encouraging and allowing the criminal acts to occur; (4) his role in covering up their criminal acts and seeking re-election by lying to his constituents; and (5) the additional responsibility Duncan Hunter bore as result of being a sitting United States’ Congressional Representative.

³ After considering all the Section 3553(a) factors, the Probation Department concluded that Ms. Hunter should be sentenced at the low end of the parties’ adjusted offense level of 11. *See* PSR at ¶¶ 153 and 157. As shall be discussed herein, it is significant that the Probation Department ultimately calculated defendant’s exposure at 8 months (four months custody and four months home confinement) – *without* the necessity of taking Margaret Hunter’s extensive cooperation into account.

1 This Court, however, can address the obvious disparity between the two
2 codefendants by fashioning a sentencing alternative within the appropriate guideline range
3 that takes into account their radically differing positions. In doing so, it is necessary to
4 consider the particular adjustments and departures required in this case, and highlight the
5 various differences between the two codefendants.

6 **1. Departure / Variances (USSG § 5K2.0 / 18 USC § 3553(a))**

7 The Court approved a 4-level downward departure in Duncan Hunter's case based
8 upon military service that was present to an unusual degree and distinguished his case from
9 the typical cases covered by the guidelines. *Koon v. United States*, 518 U.S. 81, 96 (1996).⁴
10 Although Ms. Hunter admittedly did not serve in the military, it is not appropriate to simply
11 overlook the role she played in supporting her husband's service. *See* Defendant's Expert
12 Report ("Expert Report") at 4 (describing how Defendant was originally abandoned with
13 an 8-month old baby and left with in-laws who were "controlling and psychologically
14 abusive."). Clearly, without her willingness to be the sole childcare provider for his infant
15 children and otherwise manage his household, Duncan Hunter could not have performed
16 his served in the military and earned his downward departure.

17 Indeed, the United States Department of Labor now recognizes that "[m]ilitary
18 families are on the front line of service" and should be recognized for the unique role they
19 play in supporting out country's military activities. *See* U.S. Department of Labor Blog,
20 Military Spouses, May 8, 2020." Military wives have to "make many sacrifices for
21 American security and prosperity, and face "labor market disadvantages, frequent moves,
22 rural base assignments, and deployments [which] all take a toll" on their life. *See generally*
23 Report of The Council of Economic Advisers, May 2018. In addition, they face a range of

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25 ⁴ In doing so, the Court relied on specific guidance from the guidelines and well
26 established caselaw. *See e.g.*, USSG §5H1.11 (discussing departures for military service)
27 and the cases cited in the Sentencing Memorandum filed by the United States in
28 codefendant Duncan Hunter's case ("DH Sent. Memo") at pp. 63-64. *See* Dkt. 135.

1 other deleterious effects, including “concern, worry or panic, loneliness, sadness, added
2 family duties and responsibilities, feeling overwhelmed, financial difficulties, [and]
3 dealing with problems on their own.” *See e.g., How Deployment Stress Affects Families*,
4 <https://www.military.com/deployment/effects-deployment-families.html>.

5 While the Court should not depart under USSG §5H1.11—which is confined to
6 active military service—the Court could still consider Defendant’s role in supporting her
7 husband’s military service under USSG §5H1.6 (Family Ties and Responsibilities). This
8 approach, however, was not taken by the Probation Department—which observed that
9 family ties and responsibilities are not ordinarily relevant in determining whether a
10 departure was warranted.⁵ Rather, the Probation Officer thought that Margaret Hunter’s
11 sacrifices in this area could be better addressed under Section 3553(a). *See* PSR at 139.

12 Prior to quantifying the propriety of the parties modest 3-level downward adjustment
13 to Defendant’s guideline range, it is important to examine a number of other factors that
14 this Court should also consider in Margaret Hunter’s sentencing calculus. First, her
15 codefendant also received some sentencing credit due to his suffering from post-traumatic
16 stress disorder (“PTSD”). *See e.g.,* USSG §5H1.3 (Mental and Emotional Conditions).⁶
17 Significantly, this condition (which at times caused him to be a “functional alcoholic”)
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19 ⁵ It should be noted that while departures are specifically discouraged on the face of
20 §5H1.6, *see United States v. Klimavicius-Viloria*, 144 F.3d 1249 (9th Cir. 1998), the Court
21 may nevertheless depart if it finds that “the factor is present to an exceptional degree or in
22 some other way makes the case different from the ordinary case where the factor is
23 present.” *See Koon*, 518 U.S. at 96. *See also United States v. Riggins*, 40 F.3d 1055 (9th
24 Cir. 1994) (finding nothing improper in Court’s decision to depart downward based upon
25 family circumstances, but dismissing appeal seeking additional downward departure
26 request on this factor).

27 ⁶ *See e.g., United States v. Malley*, 307 F.3d 1032, 1033-34 (9th Cir. 2002)
28 (approving five-level departure based upon combination of diminished capacity and
extraordinary acceptance of responsibility); *United States v. Risse*, 83 F.3d 212 (8th Cir.
1996) (court departed downward from a range of 57-71 months to 18 months based on
PTSD connected to Vietnam service); *United States v. Cantu*, 12 F.3d 1506 (9th Cir. 1993)
(downward departure warranted where defendant served in combat for two years and
suffered from a “grave affliction” including flashbacks and anxiety).

undoubtedly contributed to the disintegration of his family life and a practical estrangement from his wife. See PSR at 96-97, 143; *See also* Expert Report at 5 (describing how her husband had become “a mean drunk” who had “completely lost interest in [his] family). In some respects, it could be said that Duncan Hunter’s PTSD made it equally difficult for Margert Hunter’s to lead a normal life. *See e.g., Effects of PTSD on Family*, U.S. Department of Veterans Affairs, <https://www.military.com/deployment/effects-deployment-families.html>. See also Expert Report at 5 (describing how Margaret Hunter had been “unaware of any of her husband’s extensive infidelities”). Once again, it seems only equitable that Margaret Hunter receive at least some sentencing credit for this factor which let to a downward adjustment for her husband. *See United States v. Leon*, 341 F.3d 928, 932-33 (9th Cir. 2003) (departing six-levels for extraordinary family circumstances).

If the Court finds that neither of the factor outlined above are sufficient to support a departure, the Court has the option of departing from the adjusted offense level based on a combination of both of these circumstances if each is present to a substantial degree. *See* USSG §§5K1.0(c)(2)(A) and 5K2.0(c). In this case, the factors that led to an 8-level downward adjustment of her codefendant’s guideline range more than support a modest 3-level downward adjustment to Margaret Hunter’s range.⁷

2. Cooperation (USSG § 5K1.0)

The parties have agreed to a 5-level downward departure based on Margaret Hunter’s cooperation in the present case. The United States formally moves for this departure, which is generally addressed in Defendant’s sentencing papers and not contested. *See generally* Defendant Margaret Hunter’s Sentence Memorandum at pp. 7-9. Nevertheless, the United States would like to comment briefly on the most significant components of Defendant’s cooperation.⁸

⁷ The Court, of course, has the option of following the path charted by the Probation Department and adjusting Defendant’s guideline range simply through application of Title 18 USC Section 3553(a), rather than through application of USSG § 5K2.0 (c).

⁸ In evaluating a Government motion for a substantial assistance departure, the Court should consider, among other factors: "(1) the court’s evaluation of the significance and

1 (i) Significance and Usefulness of Assistance

2 The value of Defendant's willingness to plead guilty and publicly acknowledge her
3 (and Duncan Hunter's) wrongdoing cannot be diminished. Her very willingness to publicly
4 admit her guilt went far towards rebutting Hunter's dangerous false narrative that he was
5 innocent and was being framed by a corrupt Department of Justice. *See* DH Sent. Memo
6 at pp. 78-80. In short, her assistance was extremely significant and especially useful.⁹

7 (ii) Truthfulness, Completeness and Reliability of Information

8 The completeness of the information supplied by Defendant is illustrated plainly
9 through a review of the extensively detailed factual statement contained in her plea
10 agreement. *See* Dkt. 34, Plea Agreement at ¶¶ 17(a)-(z). This information was entirely
11 consistent and corroborate by myriad bank records, bills, invoices, credit card statements,
12 scores of witnesses, and gigabytes of electronic evidence secured during the investigation
13 of Duncan Hunter's malversation.

14 (iii) Nature and Extent of Assistance

15 Putting aside the mountain of evidence assembled during the United States' multi-
16 year investigation, the single most important development resulting in Duncan Hunter's
17 admission of guilt and subsequent resignation from office was the dramatic testimony
18 provided by his wife and memorialized in her factual basis. As previously noted, this
19 information powerfully contradicted Hunter's false protestations of innocence and very
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22 usefulness of the defendant's assistance, taking into consideration the government's
23 evaluation of the assistance rendered; (2) the truthfulness, completeness, and reliability of
24 any information or testimony provided by the defendant; (3) the nature and extent of the
25 defendant's assistance; (4) any injury suffered, or any danger or risk of injury to the
26 defendant or his family resulting from his assistance; (5) the timeliness of the defendant's
27 assistance." USSG § 5K1.1.

28 ⁹ This aspect of Margaret Hunter's cooperation is especially apt at this particular
point in our country's history with news sources splintering and false conspiracy theories
spreading online and giving voice to disingenuous claims of "fake news" and "alternative
facts."

likely led directly to his guilty plea. As such, her assistance clearly played a critical role in the prosecution.

(iv) Injury, Danger and Risk of Injury

Margaret Hunter clearly did not face the injury or danger contemplated by this particular guideline section. *See e.g., United States v. Tadio*, 663 F.3d 1042, 1045 (9th Cir. 2011) (reducing sentence by additional 24 months due to threats of physical violence while cooperator was in custody). On the other hand, it does bear note that she experienced significant psychological trauma by virtue of her decision to cooperated against her husband (the father of her three children) and virtually pitted herself against the rest of the extended Hunter family. The personal cost of this decision was patently obvious to the entire prosecution team during the extensive time they spent with the Defendant during her debriefings and trial preparation.¹⁰

(v) Timeliness of Assistance

To her credit, Margaret Hunter first professed a willingness to plead guilty shortly after becoming aware that the United States was investigating her activities. Unlike her spouse, she timely entered a guilty plea rather than filing motions contesting the propriety of her prosecution. *See* Dkt. at 33. M. Hunter Plea Agreement (filed June 13, 2019).

3. Final Guideline Calculation

As described in the preceding sections above, after application of the Guidelines, including specific offense enhancements in Section 2, and applicable departures in Section 3, Margaret Hunter’s properly calculated Adjusted Offense Level is 11. According to the U.S. Probation Office, Defendant has zero criminal history points, which places her in Criminal History Category I. These calculations results in Defendant falling within an advisory sentencing range of 8-14 months.

¹⁰ The Probation Officer noted “collateral consequences [would] include a fractured marriage, public scrutiny and the need for her to rebuild her life as a single mother which will undoubtedly be an arduous task.” *See* PSR at 152.

1 Prior to concluding its analysis, this Court must still determine whether the
2 application of the resulting 8-14 month guideline range upholds “the sentencing statutes
3 basic aim of ensuring similar sentences for those who have committed similar crimes in
4 similar ways.” *United States v. Booker*, 543 U.S. 220, 252 (2005). Fortunately, the United
5 States has already conducted this analysis, DH Sent. Memo at pp. 67-70, which resulted in
6 the Court upholding the propriety of the 8-14 month guideline range calculated by all
7 parties in this case. *See* Dkt. 140.¹¹ Accordingly, all that remains is for the Court to
8 determine whether Margaret Hunter’s markedly different situation calls for a somewhat
9 different sentence than the 11-months imposed on the former Congressman.

10 **B. Application of Section 3553(a) Factors**

11 When addressing the relative culpability of the two parties, it is undeniable that that
12 the individual most responsible for the instant offense is codefendant Duncan Hunter.
13 Although Margaret Hunter admittedly played an active and very substantial role in the theft
14 of campaign funds, she did so only with the concurrence, and support of the then-
15 Congressman. Apart from his own theft of campaign funds, it remains uncontested that
16 time-and-time again Duncan Hunter put his wife in a position to steal campaign funds with
17 full knowledge that she was to use those funds to support a life style that they otherwise to
18 could not afford. As early as December 2009, he directed his Campaign Treasurer to get
19 his wife a campaign credit card, even though she had absolutely no official role whatsoever
20 with the campaign. *See* DH Sent. Memo at p. 10. And, after receiving multiple warnings
21 from multiple sources that his wife was stealing campaign funds, Hunter allowed her illegal
22 conduct to escalate. *See e.g.*, DH Sent. Memo at pp. 12-13, 16-18, 21, 24, 29-30, 32, and
23 48.

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25 ¹¹ As it was not particularly pertinent in Duncan Hunter’s case, the United States’
26 analysis omitted a discussion of the 12-month sentence imposed upon Jesse Jackson’s wife
27 for assisting in his theft of campaign funds (for which he received 30-months) and her own
28 tax evasion. Of particular note is the fact that Sandra Jackson received significantly less
time than her husband—even though she did not cooperate against him.

1 Equally significant, Duncan Hunter was the duly elected United States
2 Congressman. It was his campaign and his decision to give the Defendant the keys to the
3 kingdom in order to enable his and her theft of campaign funds. Against the advice of his
4 staff, he placed his wife in a position that she was not qualified for by either education or
5 experience solely so she could maintain the family's lifestyle. As articulated by the
6 Probation Officer, Duncan Hunter "should have provided the first line of defense," but he
7 did not display "the fortitude and discipline to establish boundaries and manage priorities
8 appropriately." *See* PSR at 174.

9 While addressing the relative culpability of the parties, it bears mention that at the
10 discovery of the Hunters theft of campaign funds, Duncan Hunter's first reaction was to
11 try and evade responsibility by blaming Defendant Margaret Hunter. *See e.g.,* Vanity Fair,
12 *Charged with Fraud, Duncan Hunter Throws his Wife under Bus* (August 24, 2018)
13 ("Facing an inventory of campaign-finance violations that would make Paul Manafort
14 blush, the California congressman is blaming his wife."); CNN, *Duncan Hunter just*
15 *toptally tried to Throw his Wife Under the bus* (August 24, 2018) ("Indicted California
16 Congressman Duncan Hunter (R) offered a glimpse into his legal strategy . . . Blame his
17 wife for the whole thing."); Washington Examiner, *Duncan Hunter Throws his Wife Under*
18 *Bus in Campaign Finance Scandal* (August 24, 2018) (Who says true love is dead?).¹²

19 After this unsavory tactic garnered almost universal condemnation, Duncan Hunter
20 then began his relentless attacks on our system of justice, in general, and the Department
21 of Justice and the FBI, in particular. Rather than adopting the Hunter family's crazy
22 conspiracy theory, Margaret Hunter again demonstrated her relative merit by failing to
23 blindly adopt this narrative. Moreover, she eventually demonstrated the falsity of this
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25 ¹² If the Congressman had been innocent of the crimes which he has now admitted,
26 his nationally publicized scapegoating of his wife would be shameful at best. Rather than
27 except responsibility for his own actions precipitating and participating in this decade-long
28 fraud, he tried to deflect attention onto his wife, who was clearly more vulnerable and
psychologically fragile. This action, of course, had the predictable result of increasing her
ongoing anxiety and depression. *See* Expert Report at 7-8.

1 narrative by pleading guilty and agreeing to cooperate against her husband. Collectively,
2 these actions suggest that she should be placed well below her codefendant in terms of
3 ultimate comparative culpability.

4 Due to these differences, the United States would have normally recommended a
5 custodial sentence of six months -- roughly half the length imposed on former
6 Congressman Hunter. Indeed, the Probation Department's recommendation is only
7 slightly more lenient calling for four months custody and four months of home detention
8 (punitive) as a condition of supervised release." See PSR at 153. The United States believes
9 either of these recommendations would have adequately addressed Ms. Hunter's situation
10 – *absent her cooperation*.

11 However, it is clear that Margaret Hunter's cooperation in the present case warrants
12 additional leniency. The guidelines and relevant caselaw has long recognized that
13 defendants who provide substantial assistance should be treated differently than other
14 defendants who did not provide substantial assistance – even if otherwise similarly situated
15 (which in this case they are not). See generally USSG, app C., vol. III, amend. 759, at 420
16 (Nov. 2011). In the present circumstances (given the substantial and meaningful assistance
17 provided by Margaret Hunter), the United States recommends that the Court impose a
18 probationary sentence containing a term of 8-months punitive home detention.

19 IV.

20 CRIMINAL FINE

21 The Probation Officer's analysis of Margaret Hunter's financial situation makes it
22 clear that she is presently unable to pay a fine. See PSR at ¶¶ 154, 164. Accordingly, it
23 recommends that the Court impose no fine in her case. See USSG § 5E1.2(a) (the Court
24 need not impose a fine if the defendant establishes that she is unable to pay and not likely
25 to become able to pay). The United States concurs.

V.

CONCLUSION

In committing campaign finance fraud, lying to the public to cover it up, and in continuing to actively serve in the House of Representatives, Duncan Hunter came to embody the cynical idea that politicians who make the laws are not required to follow them. In admitting her guilt, timely entering a guilty plea, and cooperating with the prosecution to ensure her husband was brought to justice, Margaret Hunter did much establish that the rule of law triumphed over cynical and dangerous tropes that the Department of Justice was falsely targeting political figures.

Due to her relative lesser culpability in this case and the substantial assistance she provided in the case against former Congressman Hunter, the United States respectfully recommends that the Court sentence Defendant Margaret E. Hunter to a term of Probation that includes eight months of punitive home detention.

DATED: August 14, 2020

Respectfully submitted,

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